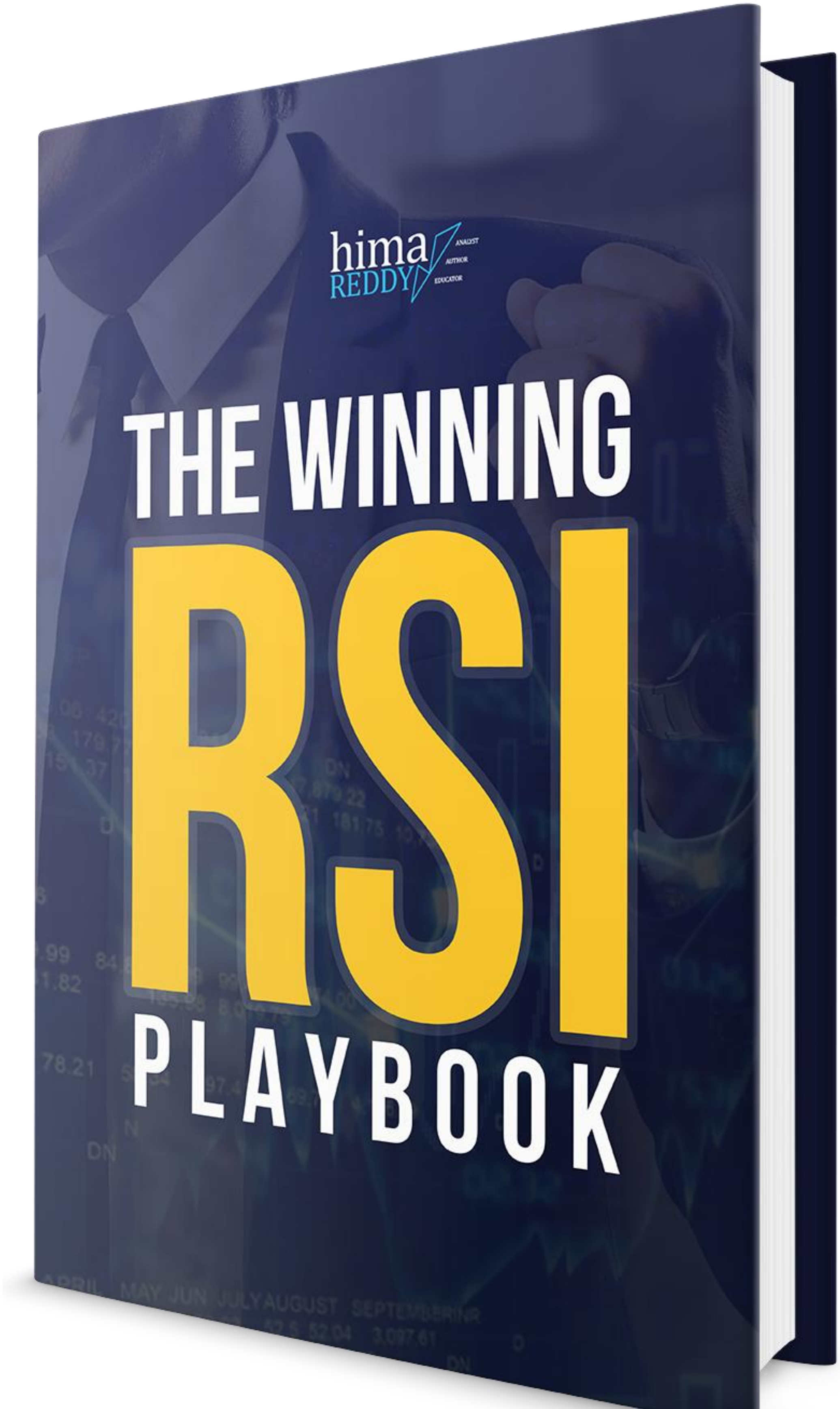

hima REDDY
ANALYST
AUTHOR
EDUCATOR
THE WINNING
RSI
PLAYBOOK

A Quick Note from Hima

Thank you for signing up and receiving The Winning RSI Playbook™!

After working on Wall Street and serving institutional clients for 10 years, I had seen a lot. But I've walked away from a 6-figure job with a bright future. Why? Because I had found a way to trade momentum that I knew I had to share with the world. The seed of the idea came from my certification study material, but I created a visual for it and took it to a whole new level of application. I've learned the rules like all the pros, but I've broken them down like an artist. I see signals emerging on the RSI that no one taught me - I uncovered them on my own.

When you've finished going through this e-book, you'll clearly see what I mean. And you'll know how to follow the RSI in a whole new winning way. You'll want to learn even more ways to use this powerful indicator to find market turning points as well as to trade with the existing trend. You'll be able to do this on intraday futures charts as well as stocks, ETFs, currencies, commodities and more on daily and weekly timeframes as well.

If you're ready to dive deeper into this exclusive content, then keep reading.

To Your Trading Success,

Hima Reddy

Founder & Head Trader

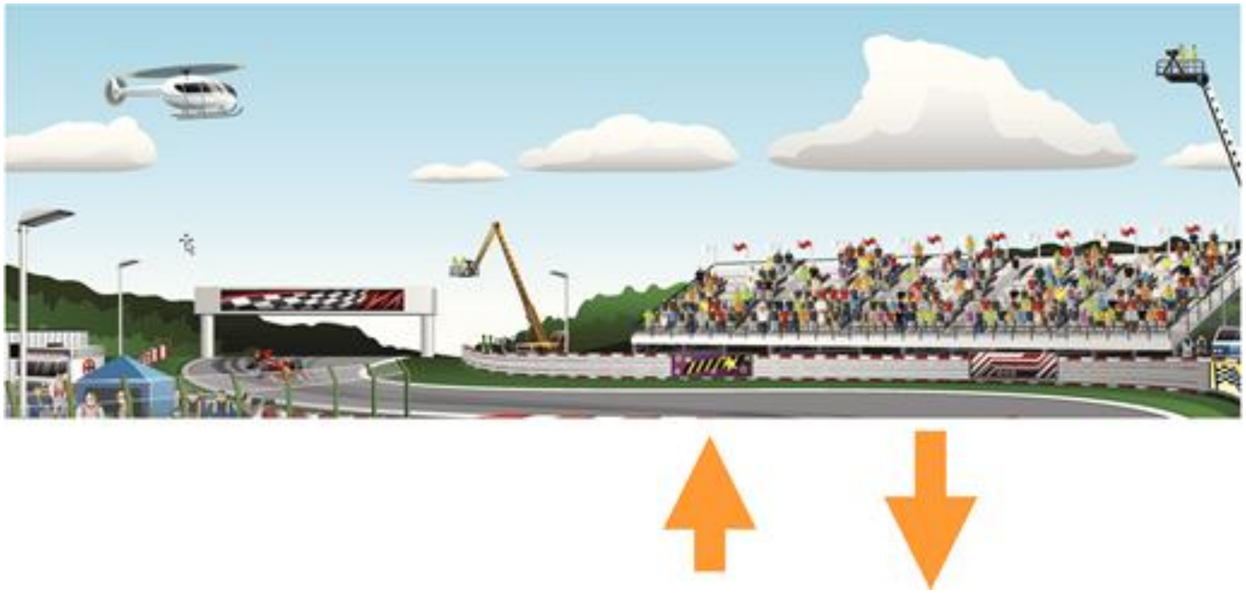
HimaReddy.com

When it comes to trading, one of the best ways to achieve consistency is to know exactly when and how to capitalize on momentum in the marketplace. In this ebook, I'm going to show you how to amplify the power of a commonly used, but often overlooked momentum indicator.

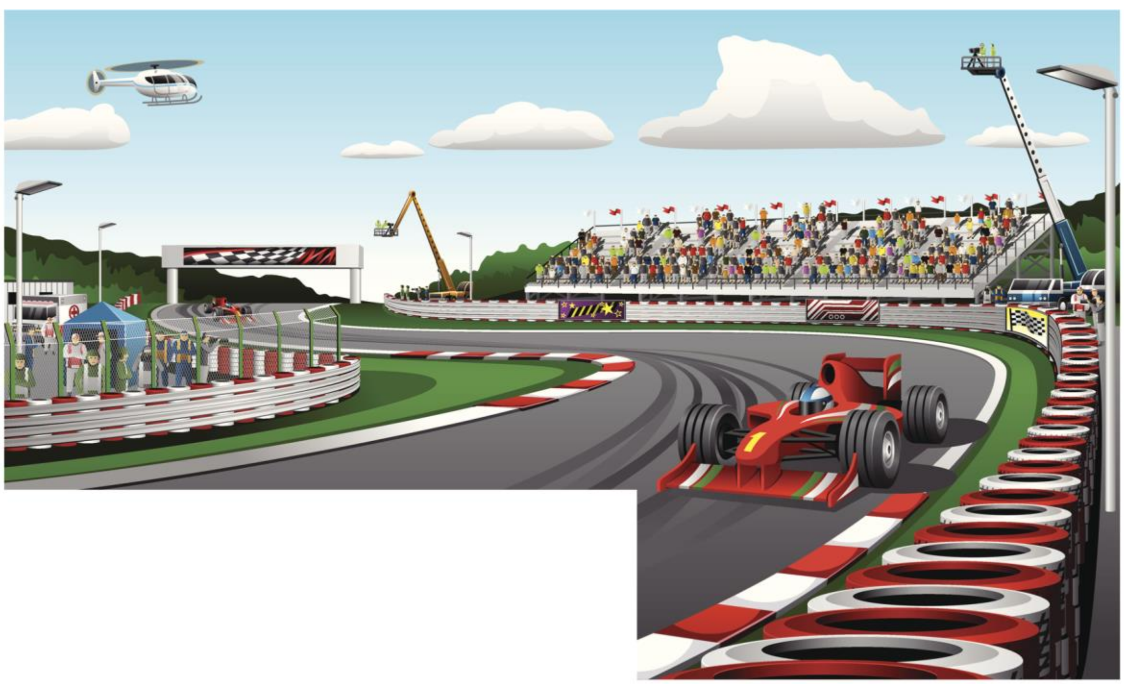
Chances are, when it comes to using indicators, you're probably doing it wrong. I'm going to draw from my 16+ years of experience as a technical analyst, and walk you through the best way to set up and use your indicators. You will learn to dump the default parameters on one of the most commonly used indicators, and fine-tune it to capture momentum on any market, and on any time frame.

First things first. I need to make sure you understand what momentum IS before I teach you how to optimize it. So, let's start with a simple illustration of how price and momentum work together.

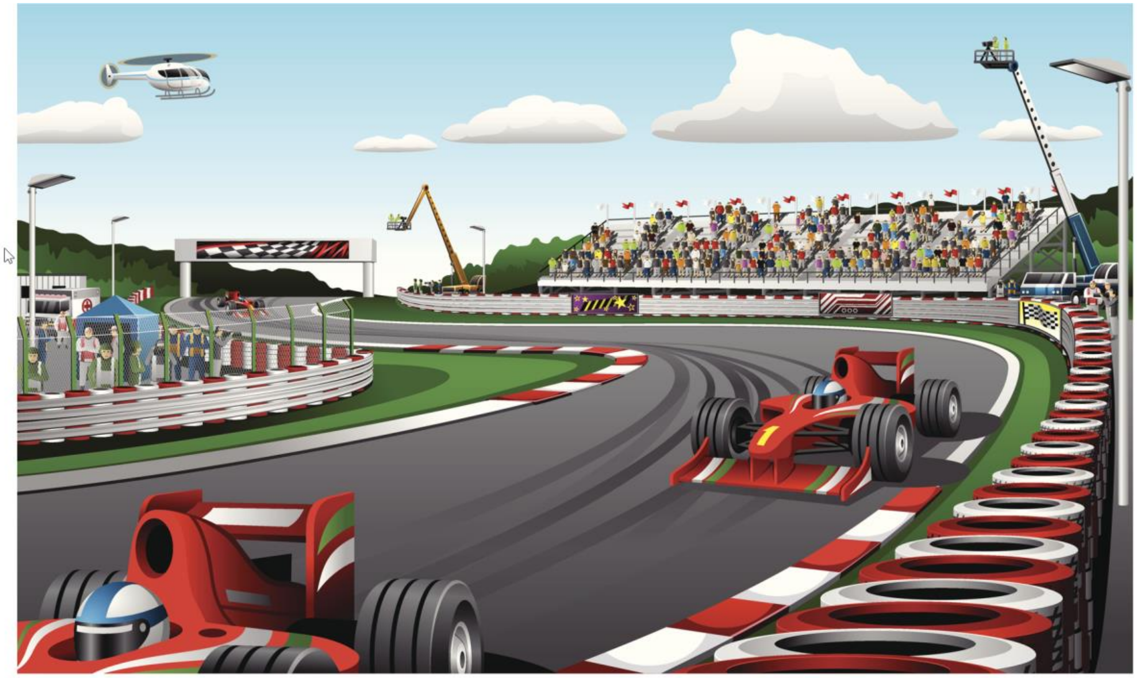
Let's head to a racetrack, and put ourselves in the driver's seat. You're at the starting line of the track, you rev up your engine and you go!



You pick up speed really quickly (or accelerate) on the straight runs. You see a turn coming up, and you prepare accordingly.

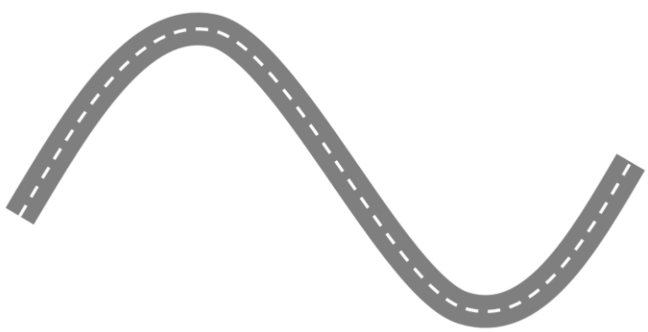


You ease off the gas to slow down (or decelerate), even if it’s just a little bit, so that you can have more control as the car whips to the other side of the turn.

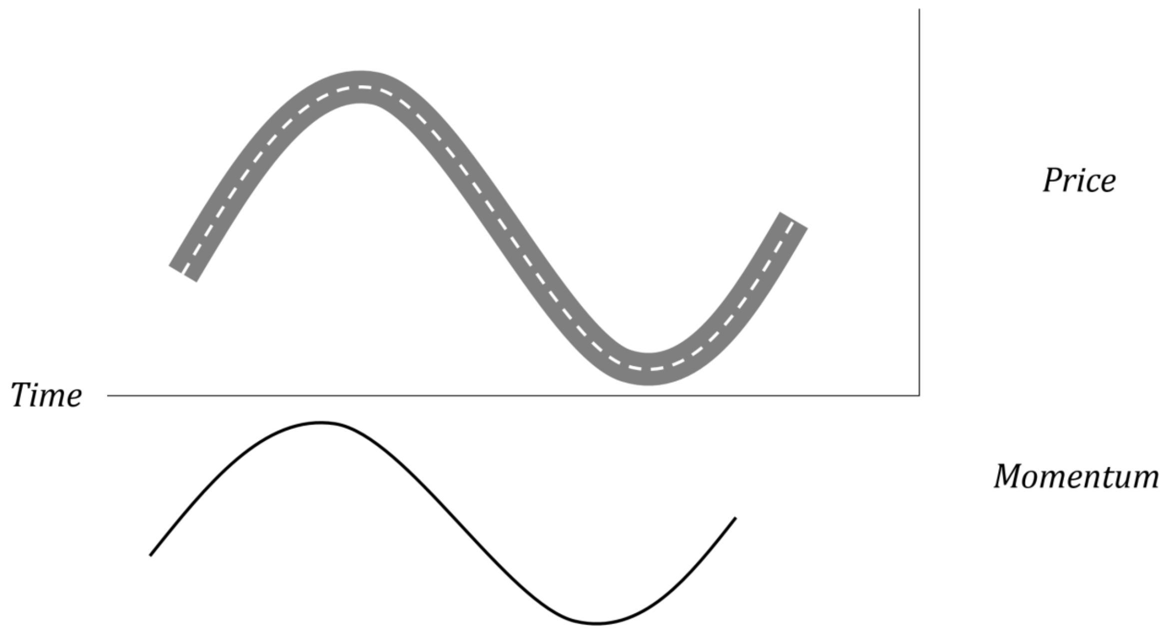


Then, after you make the turn and the road straightens out again, you hit the accelerator once more

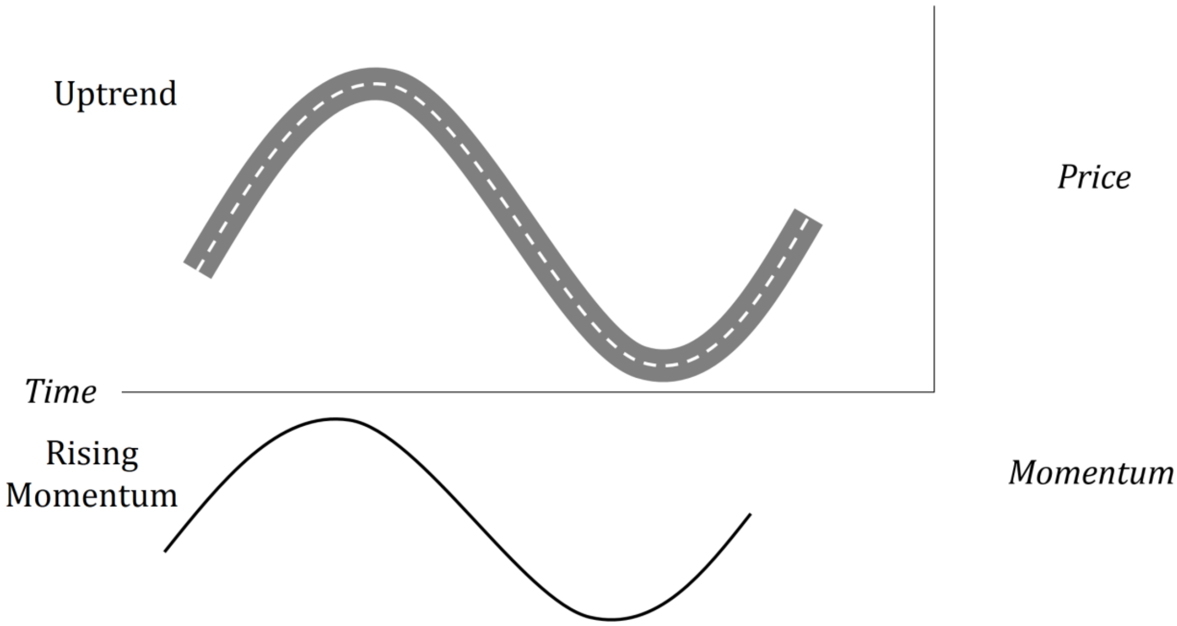
Do you get the idea of how you'd accelerate and decelerate on this track? Well now you know exactly how price momentum works!



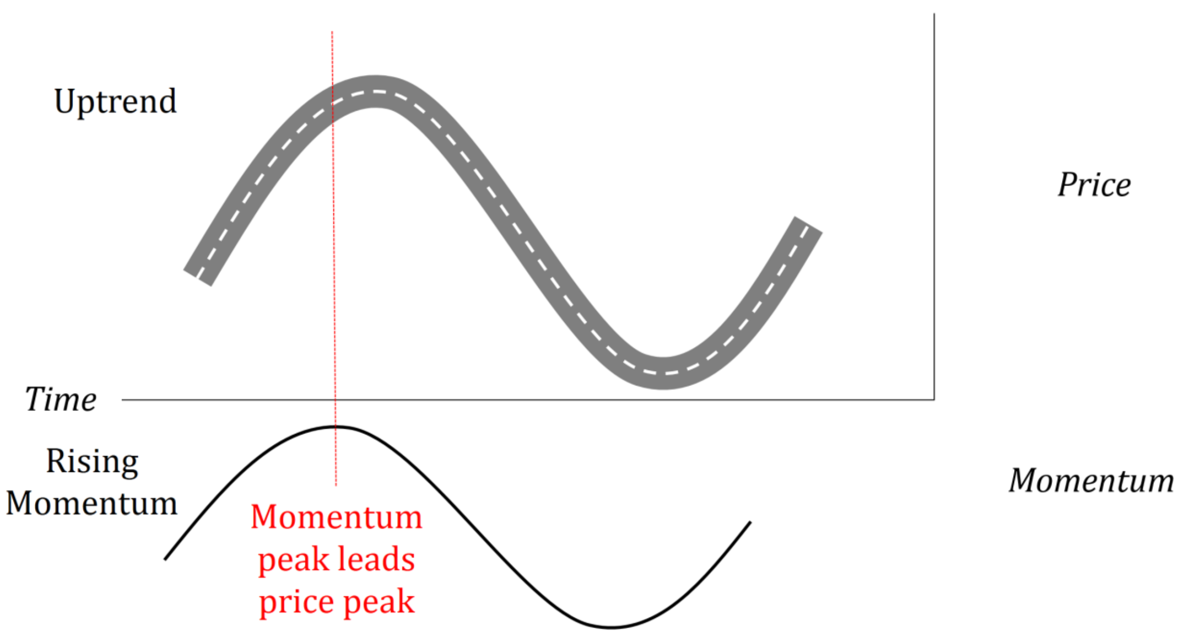
Let's jump into the helicopter that was looking down at the racetrack and get a birds' eye view of it.



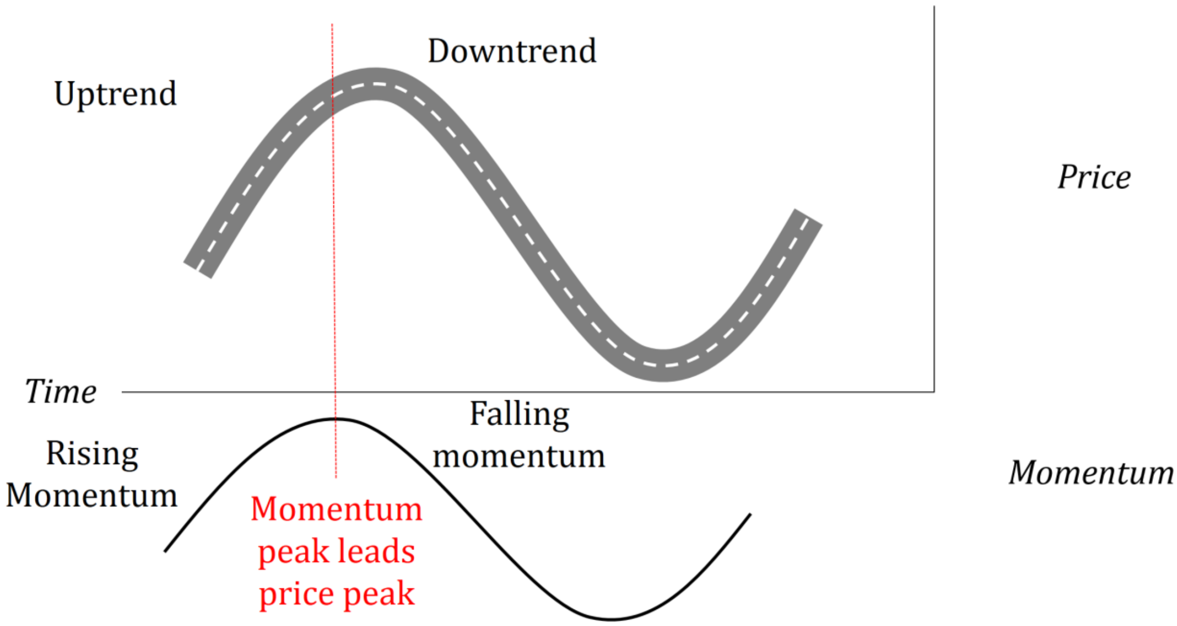
The racetrack becomes price as you see it on your stock charts. And momentum (whether as an index or an oscillator) is generally plotted on the bottom as a sub chart.



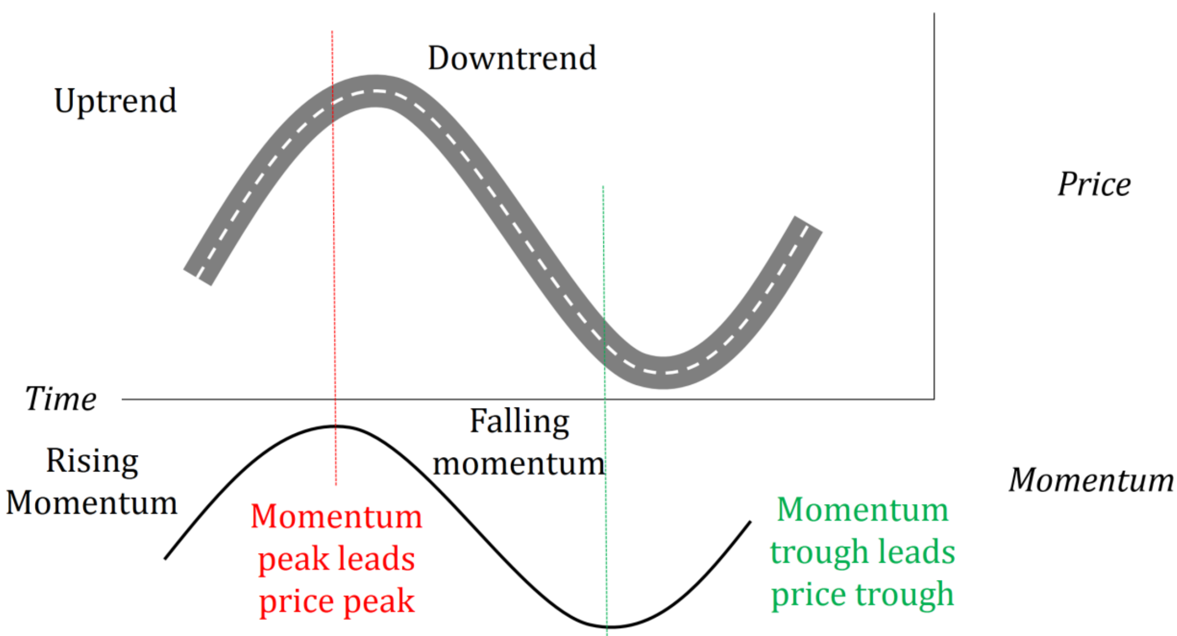
When price is trending higher, you've got upward momentum that's improving.



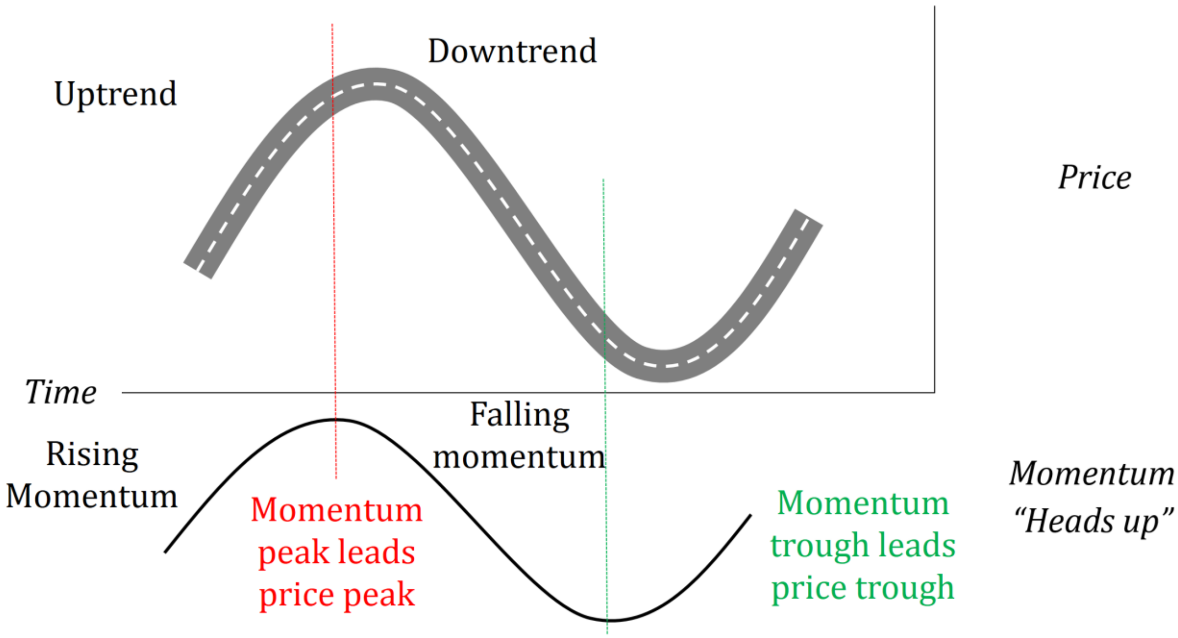
That upward momentum generally begins to slow down and peak before price does, making momentum a leading indicator.



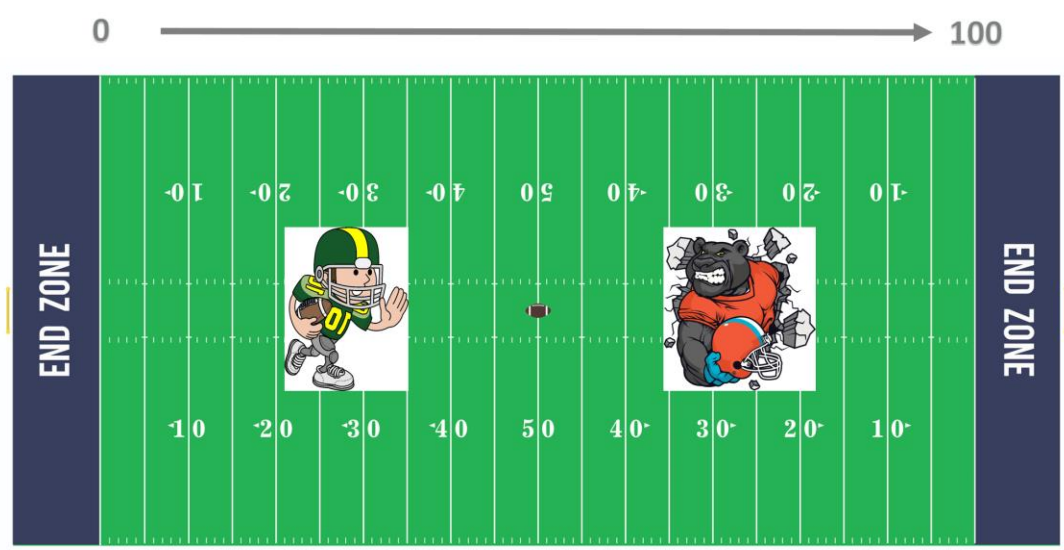
During a trend of decreasing prices, there's falling momentum that is becoming more and more powerful.



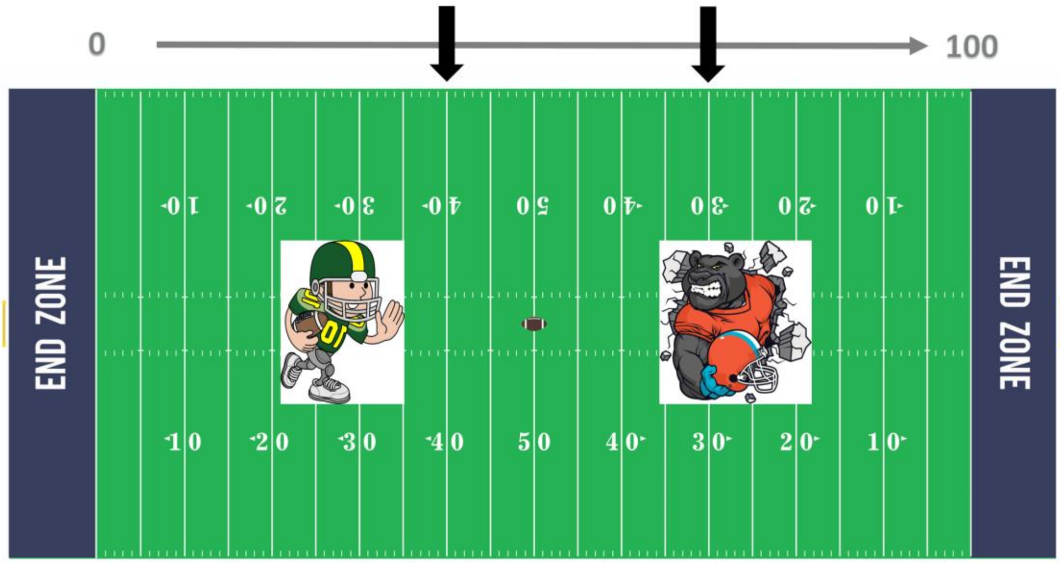
But when a price bottom is approaching, you usually see momentum bottom first.



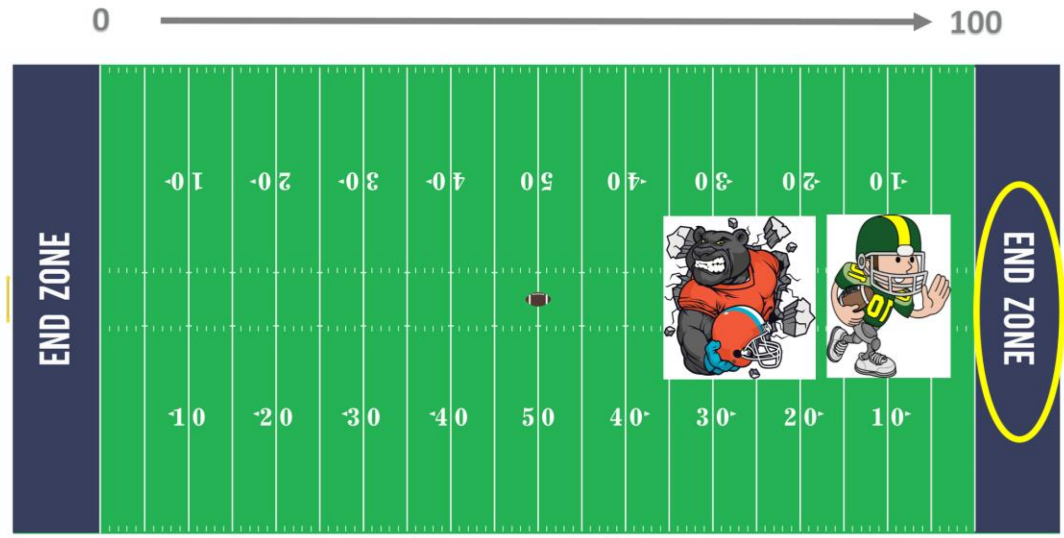
Therefore, momentum indicators can warn you about hidden strength or weakness, giving you a heads up especially when it comes to potential market turns.



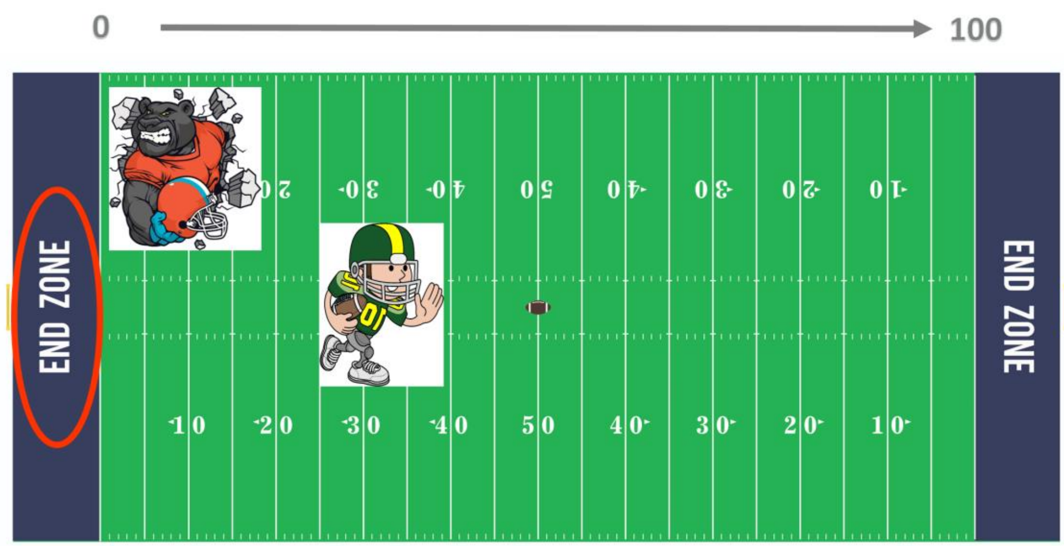
Now I'm going to use the game of football (American version) to explain how you're looking at momentum all wrong AND how to fix that! And let's specifically use my favorite team, the Green Bay Packers, along with their long time rivals, the Chicago Bears.



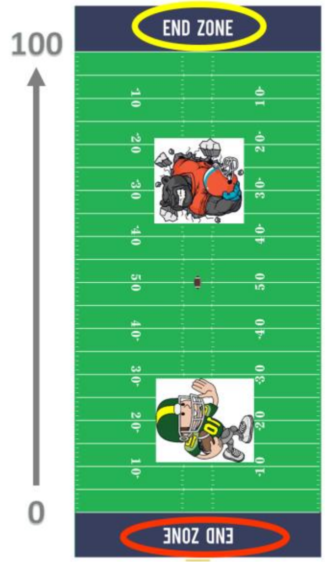
So when they're playing on this field, Packers and Bears start on opposite sides of one of these yard lines. It could be the 40 yard line on the left half, or the 30 yard line on the right half. All depends on where the last play ended.



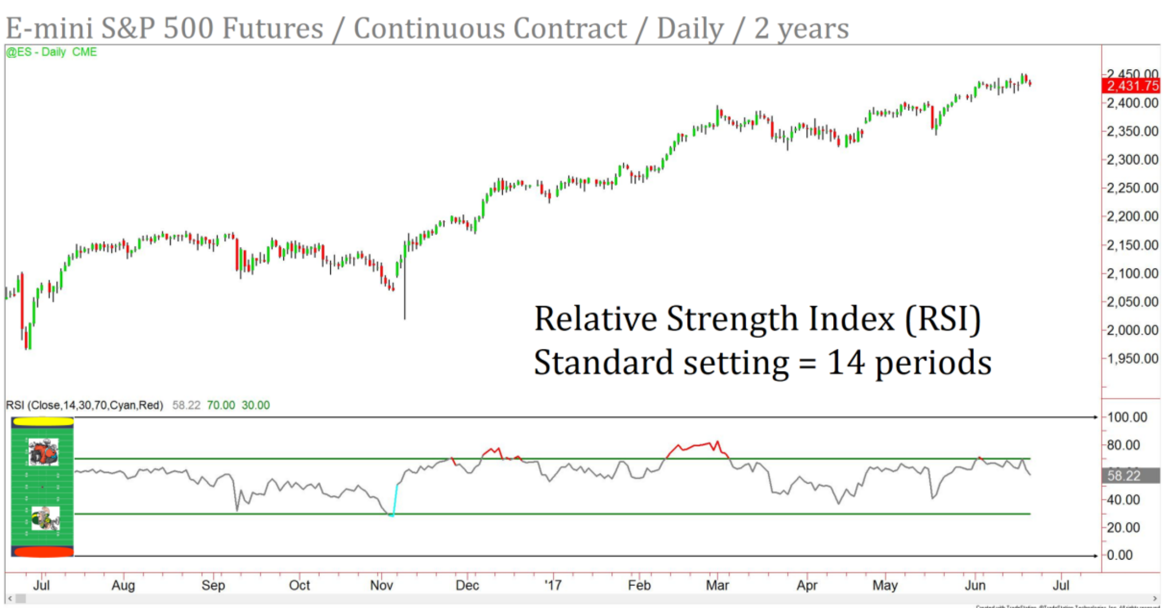
To score any points, each team has to work its way to the opposite side of the field. The Packers have one zone, called the end zone, that they're eyeing.



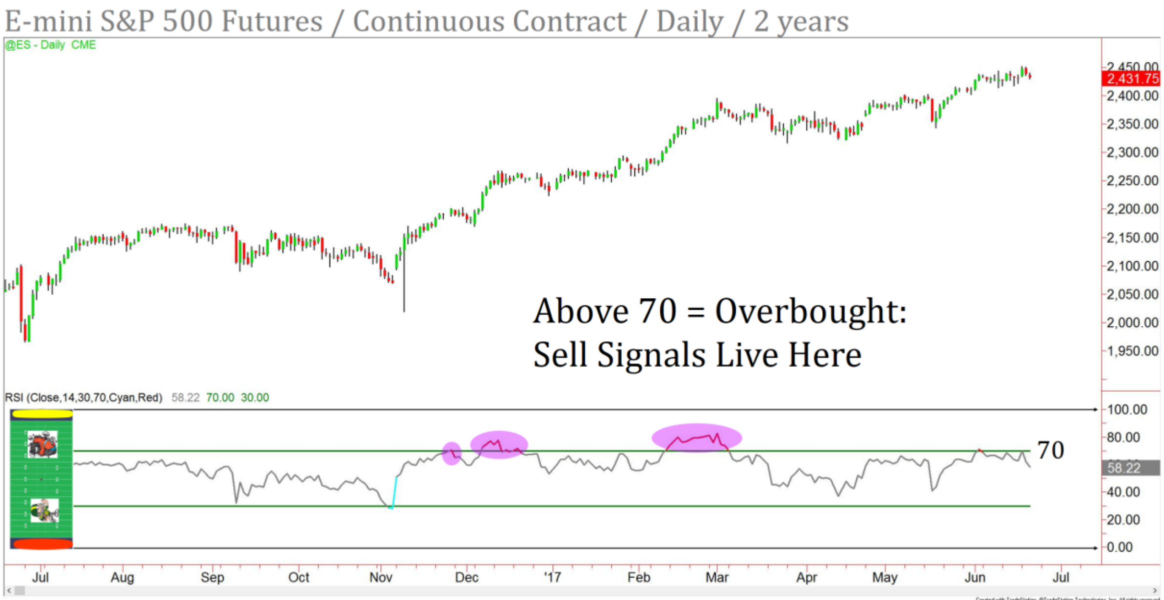
While the bears have their sights set on the other end zone. This means is that you generally don't score points in the middle of the field, you've got to get to your zone.



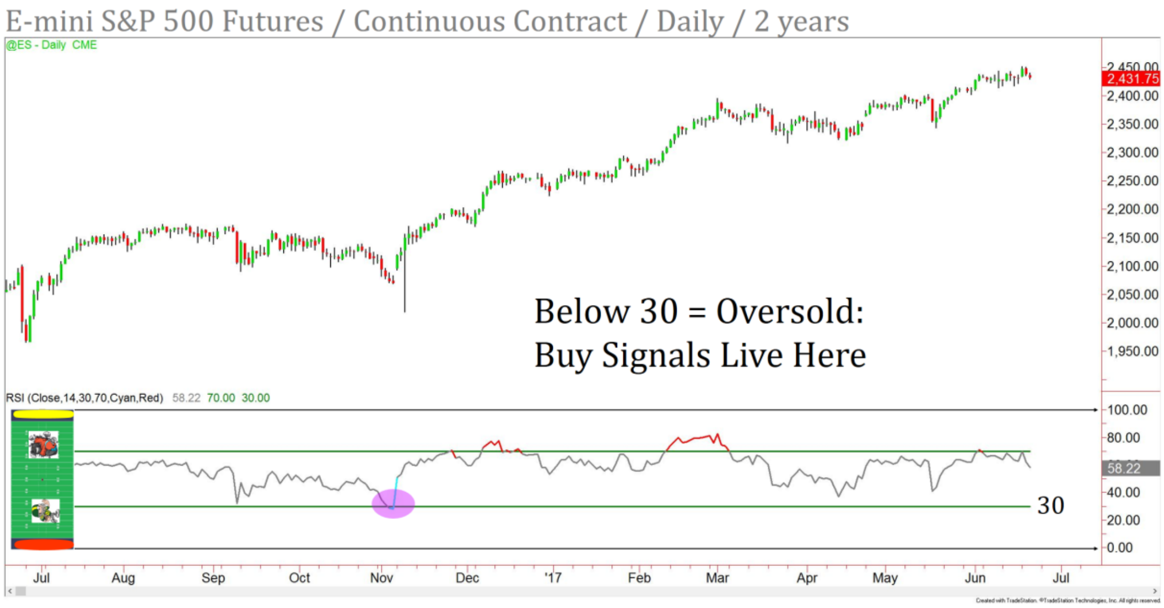
Now let's flip this football field on its side, and shrink it down, with the same 0 to 100 boundaries.



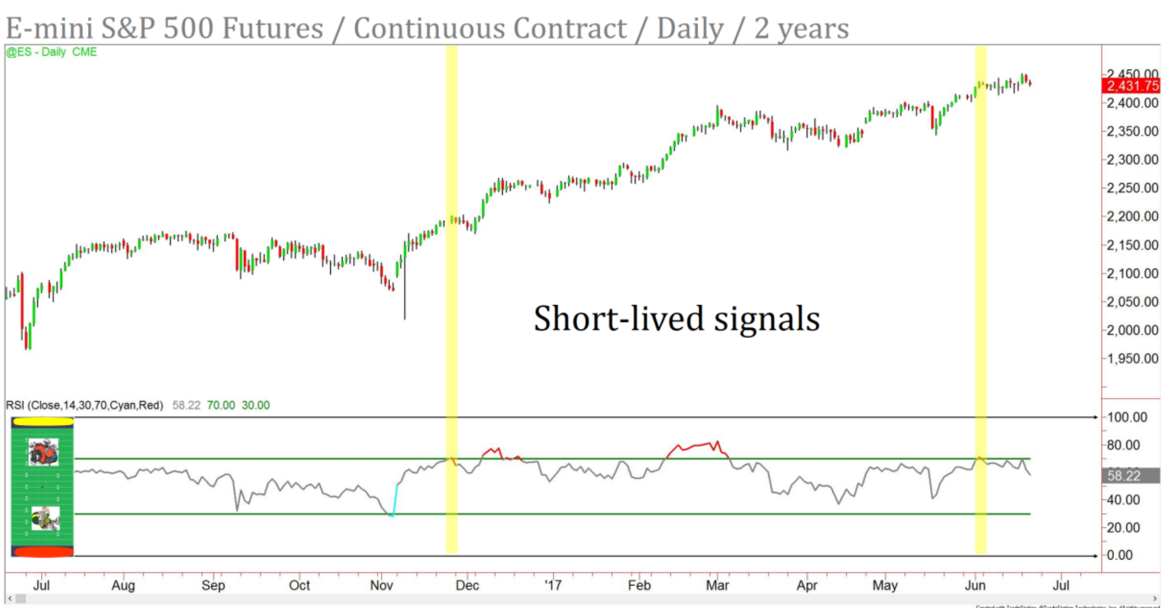
Put it on a price chart, and voila! You see the price of the E-min S&P 500 futures market, the market that is my "baby", lined up against the Relative Strength Index, a very popular momentum oscillator. The RSI shows the measure of the relative internal strength of a security against itself. It was built by Welles Wilder, and introduced in 1978, using a 14-day time span.



RSI is considered overbought, or ready to sell, when it moves above 70 on its scale of 0 to 100.



It's considered oversold, or ready for a buy setup, when it falls below 30.

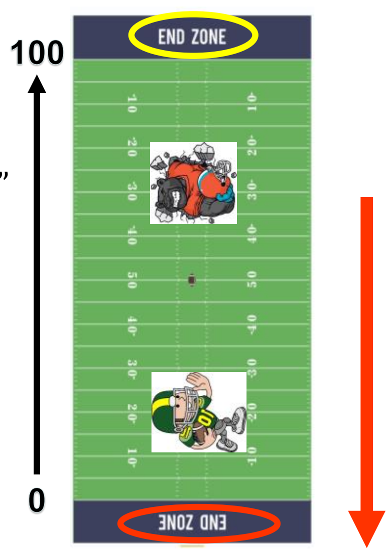


The issue I've noticed with many of the sell from above 70 or buy from below 30 signals is that they can be short-lived, especially when the market's in a strong uptrend. See in the ES daily chart above - the overbought sell signal appeared, but the market only corrected lower for a few days before pushing back higher.

E-mini S&P 500 Futures / Continuous Contract / Daily / 2 years

But when it comes to using only the standard OB/OS, I'm calling B.S.!! No offense to Mr. Welles Wilder (who invested the RSI), or to anybody who's ever used it this way. I just know there's so much more to it and I'm going to show you how that works.

Remember "the Bears"

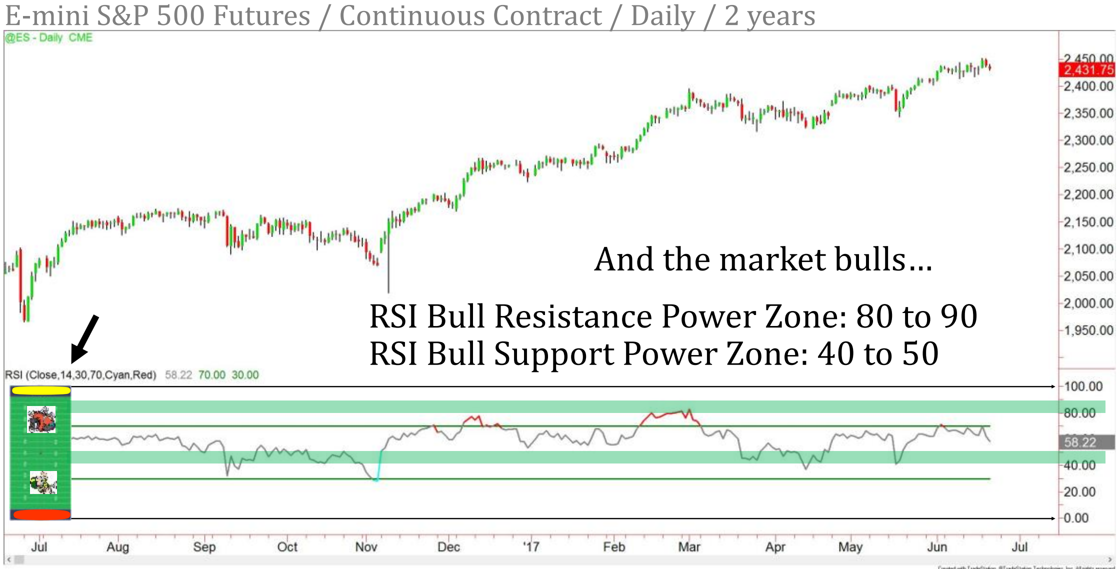


E-mini S&P 500 Futures / Continuous Contract / Daily / 2 years

Jumping to financial markets, the *market* bears can push the market to much deeper oversold levels than in normal market conditions, or in sideways market conditions. And, the actual resistance that they come up to is lower than the traditional 70 level.

Down trending or bear markets generally find resistance when the RSI is in the Power Resistance Zone from 55 to 65. And they generally find support when the RSI is in the Power Support Zone from 20 to 30.

E-mini S&P 500 Futures / Continuous Contract / Daily / 2 years



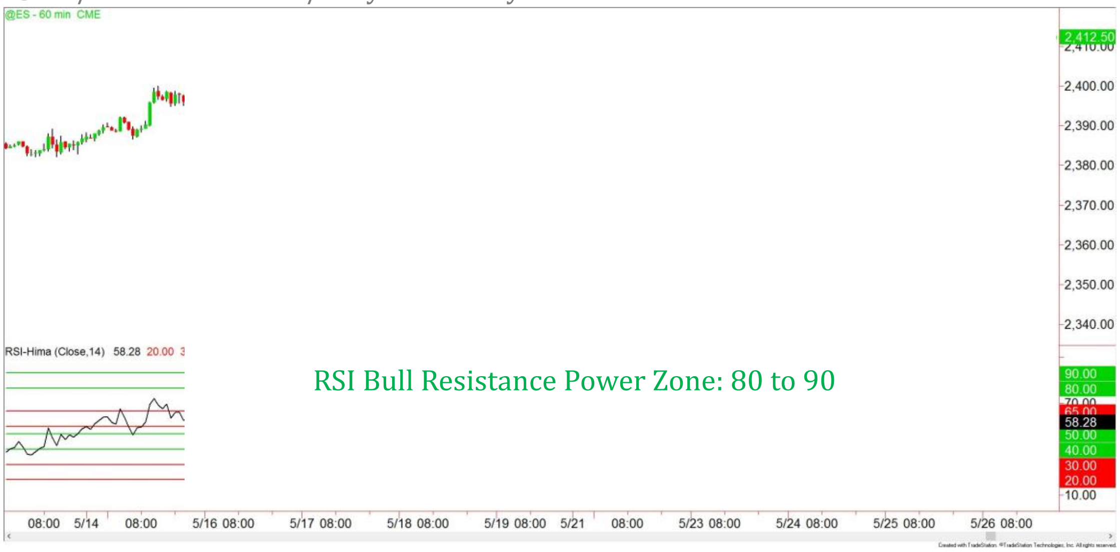
On the flipside, the market bulls generally extend into the Power Resistance Zone from 80 to 90. And, in a bull market the RSI doesn't need to deteriorate all the way down to 30 to see a buy signal. Instead, bull markets generally stabilize ahead of the Power Support Zone from 40 to 50.

It's VERY IMPORTANT to remember that the RSI is still staying at the default setting of 14 periods. Whether it's 14 days, 14 hours, or 14 weeks, these zones only work if the period setting is 14. So, I say set it and forget it!

@ES /60-minute chart / May 12th – May 25th

Now you'll see the adaptation I made to my RSI Indicator to plot the Power Zones. The two lower red lines mark the Bear Support Power Zone from 20 to 30.

@ES /60-minute chart / May 12th – May 25th



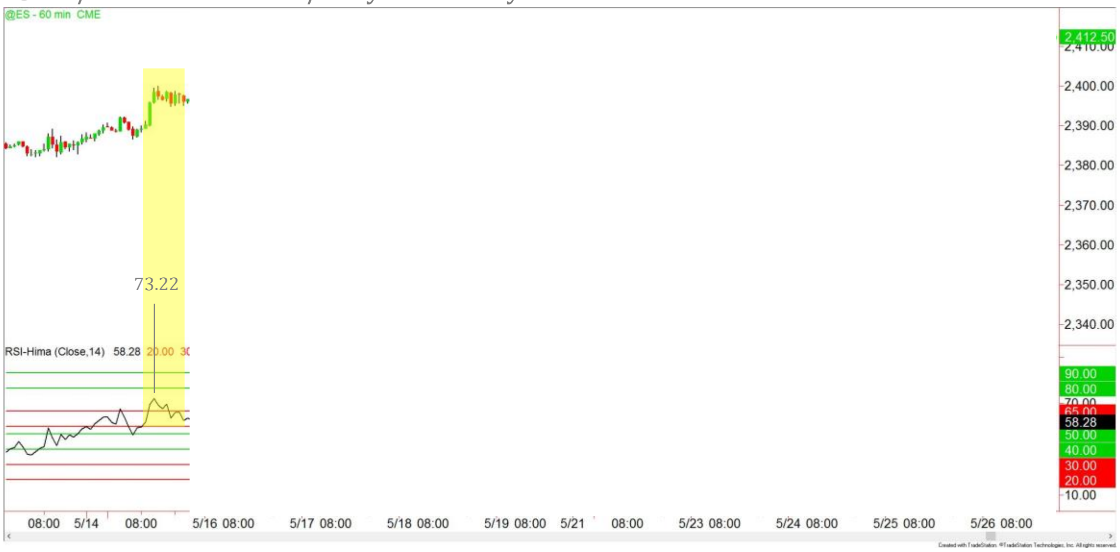
The lines alternate (red for Bear Zones, green for Bull Zones), ending with green lines marking the Bull Resistance Power Zone from 80 to 90. The RSI will still trade between 0 and 100 (original oscillator parameters) but these green and red lines make it easier to monitor movement from one Zone to another. And, the value of each horizontal line is marked on the right sub chart axis of each graph.

Many of the examples will look at charts of the ES (E-mini S&P 500 Futures). It's my baby! I learned about technical analysis and trading by studying that market, and I traded it as I was learning. I wrote (and still write) research on it every single trading day.

There are also examples from the markets that MY traders participate in. I know this for a fact, because I regularly survey them so that can make sure I'm covering the markets that interest them most.

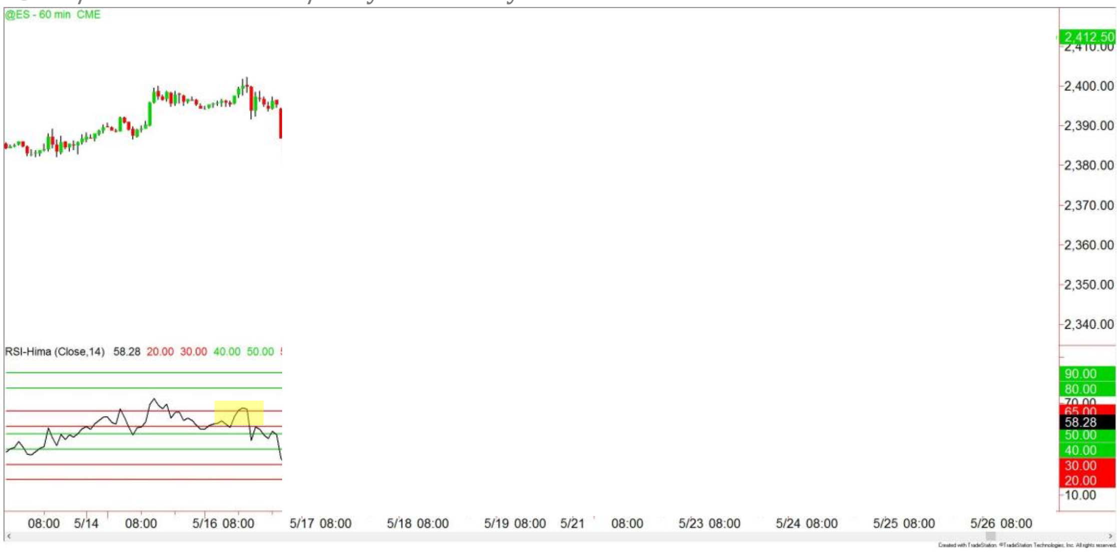
Let's get started!

@ES /60-minute chart / May 12th – May 25th



Price formed a higher after the RSI crossed above 70 then fell back below it. Yes, this is a traditional overbought parameter, and it does work. I just want you to stop limiting yourself to it! This signal offered a fine opportunity to tighten up stops on long positions, or keep an eye out for a potential trend reversal (topping pattern).

@ES /60-minute chart / May 12th – May 25th



Moving on, an uptrend had been in place, but then the RSI started to deteriorate while in the Bear Market Resistance Power Zone. There's a signal emerging as marked by the yellow highlight. Let's look at some more Zone action before we explore it.

@ES /60-minute chart / May 12th – May 25th

RSI fell back down into the Bear Market Support Power Zone, to 26.66. Following traditional OB/OS rules, you'd look at the return above 30 as a hint that the trend might be turning back up, tempting you to look for a buy opportunity.

@ES /60-minute chart / May 12^{th} – May 25th

But that would have been painful! And the clue that the Power Zones give is that the rally from 26.66 didn't quite get back to the Bear Market Resistance Power Zone (55 to 65). The RSI didn't even break above its prior lows and prior highs, another clue that the ES was still weak. The downtrend in price continued, again with interesting RSI action forming as per the yellow highlight.

@ES /60-minute chart / May 12^{th} – May 25th

Continuing, there's a break of a previous high in price. The purple horizontal line relates to the actual trading signals that I write about daily on the ES, the trading signals that I used to use, the trading signals that are in the book that are published. All that detail can be explored another time. The key point here is that the ES broke above a previous high, then consolidated (traded sideways). And all that sideways price action corresponded with the RSI hanging out above the Bull Market Support Power Zone (40-50).

@ES /60-minute chart / May 12th – May 25th

Then BOOM, futures took off! The RSI got up to 75.02, then fell back below 70.00. Again, if you were just sticking to traditional OB/OS parameters, you might have been tempted to say that the upward move in prices had completed, and even be watching out for a sell signal…

@ES /60-minute chart / May 12th – May 25th

But look at what happened. All the ES did was go sideways for a while, not immediately form a top pattern. And this is a 24-hour chart (that's all I use for the ES), showing how price kept creeping higher during "the overnight" (Globex trading, starts after the regular market close). By using the Power Zones, you'd be clued in to the persistence of this uptrend in prices because of the continuous support provided by the 40-50 area on the RSI, otherwise known as the Bull Market Support Zone.

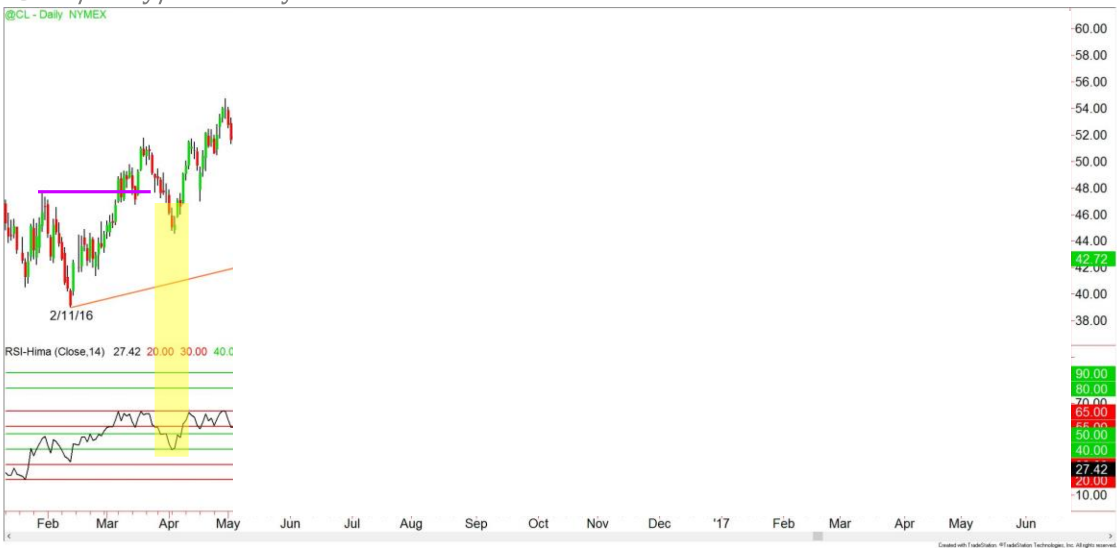
@ES /60-minute chart / May 12th – May 25th

Lastly, the RSI climbed up to 84.35, hitting the Bull Market Resistance Power Zone. Again, this observation would have kept you on the right side of this market, which was up.

@ES /60-minute chart / May 12th – May 25th

Let’s take one last look at the signals that unfolded in this one chart example. The 75.02 and 70.32 readings on the RSI fall in line with the traditional “Overbought is above 70” thinking and would have risked getting you into “sell” mode too early. The orange upward arrows drawn on price and momentum show you the move from the Bull Market Support Power Zone (40-50) to the Bull Market Resistance Power Zone (80-90). By knowing the Zones, you would have been able to profit from this!

@CL /Daily/ February 2016 - Current



Looking at Oil, RSI Power Zones shed A LOT of light on what seemed like a sideways-only mode starting in February of 2016. The purple horizontal line shows the break above a previous high. As per the first ES example, this hints at a trend change from down to up. As the yellow highlight shows, prices declined after the upside break, but they formed a low that aligned with the RSI holding the Bull Market Support Power Zone (40 to 50).

@CL /Daily/ February 2016 - Current

The new uptrend pressed forward, and the RSI moved higher to reach 70.61. The indicator then turned back below 70.00, and this was a traditional sell signal that would have worked.

@CL /Daily/ February 2016 - Current

The next move lower continued into early August, with RSI pushing below 30.00 then turning back up as prices rallied. Another traditional signal, this time a buy, that worked. So, you might be wondering “Hima, why should I keep reading? The traditional signals work often enough.” Yes, they work, but stick with me to see what happens when they don’t…

@CL /Daily/ February 2016 - Current

The rally from the early August low capped out with RSI reaching 65.16 only. This is right at the Bear Market Resistance Power Zone (55 to 65), but still below the traditional 70 level that you might have been waiting for.

@CL /Daily/ February 2016 - Current

From there, the RSI started to deteriorate, and for the third time now we have this odd situation of a price and RSI moving away from each other. So, this is something we need to investigate! But you've already had so much to digest and I don't want to overwhelm you. So, take this all in, and I'll see you on the flipside!

If you're ready to take this powerful concept to the next level, I strongly encourage you to take advantage of my favorite strategy for leveraging the RSI: The Bull Bear RSI Faceoff.

It will show you exactly what rules I use to leverage this strategy for phenomenal profit potential. You will get all of my entry and exit rules, *plus* a few cool bonuses I have just for members!

[Just Tap Here to Get the Strategy for only 7 Dollars]